in equity capital to the growing number of small investors in the middle income groups. The Governor asked Pendharkar to work out proposals for establishing a unit trust as a public sector institution. An informal committee consisting of legal adviser to the bank, B.N. Mehta, K.M. Hanifa, and Pendharkar was formed for this purpose. S.B. Billimoria & Co., auditors to the bank, were asked to assist on the technical and accounting aspects of a unit trust. This informal committee drafted a Bill which was sent to the Finance Minister in July 1963 with the hope that it would be passed in the monsoon session of the Lok Sabha and the unit trust would become a reality by the end of 1963. But there was an unexpected setback. George Woods, President of the World Bank, had taken note of the Finance Minister's announcement and offered the services of an expert, a Mr Sullivan at the World Bank's expense. The government accepted his offer and as a result the draft could not be finalized until it was discussed with him. Soon after making the offer, George Woods was taken seriously ill and the expert could only be sent in September 1963.

In the meanwhile, Morarji resigned under the Kamraj Plan and T.T.K. took his place. With T.T.K. at the helm, the government machinery began to move speedily. The draft Bill was passed by both houses of Parliament in December, becoming the Unit Trust of India Act, 1963, (Act 52 of 1963). Following the provisions of the Act, the UTI was established on February 1, 1964. Pendharkar who had played a seminal role in the drafting of the Bill was made Executive Trustee since R.S. Bhatt who had been appointed Chairman was initially available only on a part-time basis since he was Executive Director of the Indian Investment Centre, New Delhi.

Pendharkar was enlisted to carry on the day-to-day work of the Trust. He has an interesting anecdote about how Bhatt became the Chairman of UTI. Bhatt told Bhattacharya that there were only two persons in India capable of running the UTI: H.T. Parekh, then General Manager of ICICI and himself. Since Parekh showed no interest, Bhattacharya recommended Bhatt's name to the government.[25] Pendharkar was also instrumental in doing much of the spadework for introducing the UTI's flagship scheme, Unit Scheme 1964, which held sway for three decades before the pressures of competition and liberalization necessitated a ₹4,800 crore bail-out by the government.

Shroff had been against a public sector monopoly in unit trusts and felt that it would not serve the real purpose. J.R.D Tata too, in his annual